EXECUTIVE SUMMARY

# GP L90D is £8.3M with growth masking structural pressure. Eight interventions capture £1.5M–£2.9M toward the £4M target.

Lifestyle, Card Payments, Subscriptions and Savings are adding ~£740K/month to run rate. FX, Interest Income and Bank Payments are taking ~£290K/month away. Interventions protect the downside and accelerate the upside.

**£8.34M**

**GP L90D**
91-day rolling window, Apr 24–Jul 23

**+£390K/mo**

**RUN-RATE TRAJECTORY**
Day-normalised May→Jul (+15%)

**8**

**INTERVENTIONS SIZED**
£1.5M to £2.9M from data

**£4M**

**TARGET**
+48% L90D over 6–12 months

THREE MOVES THAT DRIVE ~75% OF SIZED RECOVERY

1. **Restructure the vending machine campaign.** Largest controllable cost at £2.8M across 91 days; 76% goes to users who never activate. Qualification gate + spend cap recovers **£800K–£1.3M**.
2. **Scale eSIM distribution** with targeted travel-season push. Daily revenue grew 11.5x May→Jul on 9 users. Worth **£190K–£500K** at scale.
3. **Recover FX spread pricing** through review by currency pair and plan tier. Daily run rate fell 41% May→Jul. Recovering 25–50% adds **£170K–£340K**.

Source: 196,187 user-level P&L records, Apr 24–Jul 23 2024 (91-day rolling L90D). Amounts in £1,000s per documentation. Month comparisons use daily run rates (May 31 days, Jun 30, Jul 23).

ROOT CAUSE ANALYSIS

# Daily run rate grew +£13K/day (+15%) from May to July, driven by four growth categories offsetting three structural declines

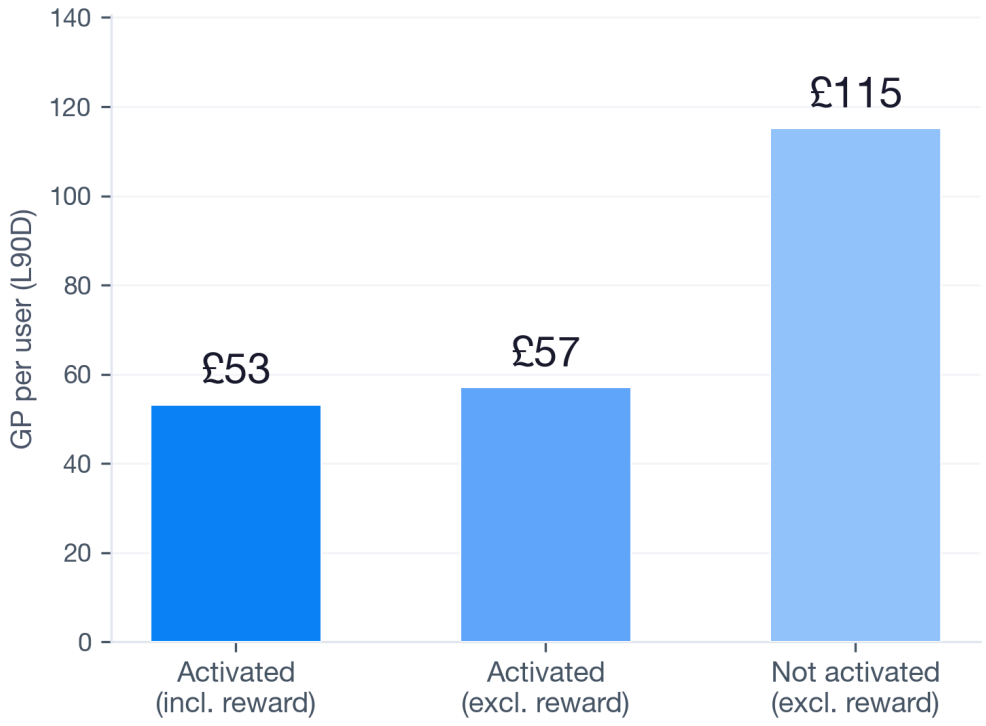
Growth: Lifestyle (+£9.1K/day), Card Payments (+£9.1K/day), Subscriptions (+£4.1K/day), Savings (+£2.3K/day). Decline: FX (−£5.2K/day), Interest Income (−£2.6K/day), Bank Payments (−£1.8K/day). Net impact at 30-day run rate: +£390K/month.

Daily run rate bridge: May GP÷31 days vs Jul GP÷23 days. Day-normalised to correct for July's 23-day window (data extracted Jul 23). Categories with change below £100/day excluded.

DEEP DIVE: LARGEST COST LEVER

# The vending machine campaign cost £2.8M across the L90D window. 76% went to users who never activated.

Stripping the reward, each non-activated user generates £115 in GP vs £57 for activated ones. The reward structure, not the user base, drives the cost.




### £115 GP/user without the reward vs £57 with it

Without the reward, non-activated users generate 2x the GP of activated ones. The cost sits in the reward structure and card dispatch process, not in user quality.

### Qualification gate + spend cap

1. Require digital activation before dispatching physical cards.
2. Cap daily spend at £16K (May and Jul run rate: £32K and £31K/day).
3. Track activation rate by channel to optimise allocation.

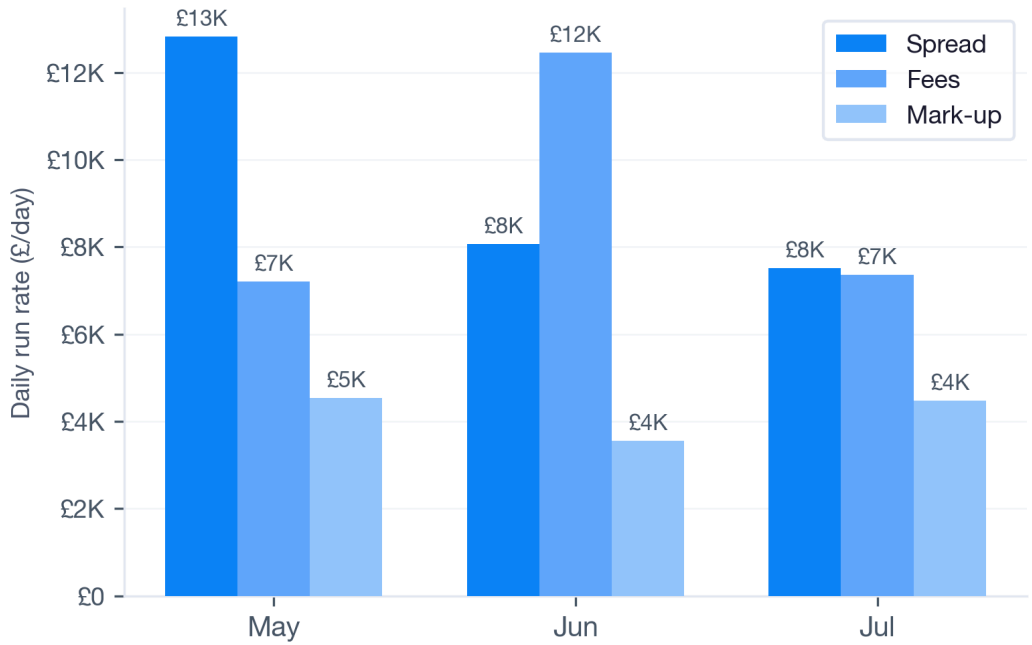
Recovery: £800K to £1.3M per L90D | Largest single intervention

GP/user = total GP / unique users per NAP segment across all 91 days. Vending Machine Rewards isolated via account_level_4. Colour coding: • Actionable Dashed border = recommendation.

DEEP DIVE: STRUCTURAL REVENUE PRESSURE

# Three revenue lines are losing ~£300K/month of run rate. FX spread and bank payments are the most actionable.

Ordered by controllability. All figures are daily run rates (May÷31, Jul÷23). FX and bank payments respond to pricing review. Interest income is a mix story. Subscriptions are actually recovering.




### ↘ FX spread: £12.8K→£7.5K/day (−41%)

Steepest structural decline; FX overall is −£5.2K/day. Romania FX dropped 61%. Review by currency pair and plan tier. **Recoverable: £170K to £340K**

### ↘ Bank payments: £7.2K→£5.4K/day (−25%)

UK (−£918/day) and Romania (−£466/day) led the decline. Init. 5 explains Romania (HUF/RON free for Premium); UK warrants separate investigation. **Recoverable: £90K to £180K**

### ↘ Interest income: −7% daily (asset mix)

Cash at banks is actually **+3% daily**; the decline sits in Other Financial Assets (−34% daily). Balance optimisation may offset **£50K to £100K**.

### ↗ Subscriptions: £28.0K→£32.1K/day (+15%)

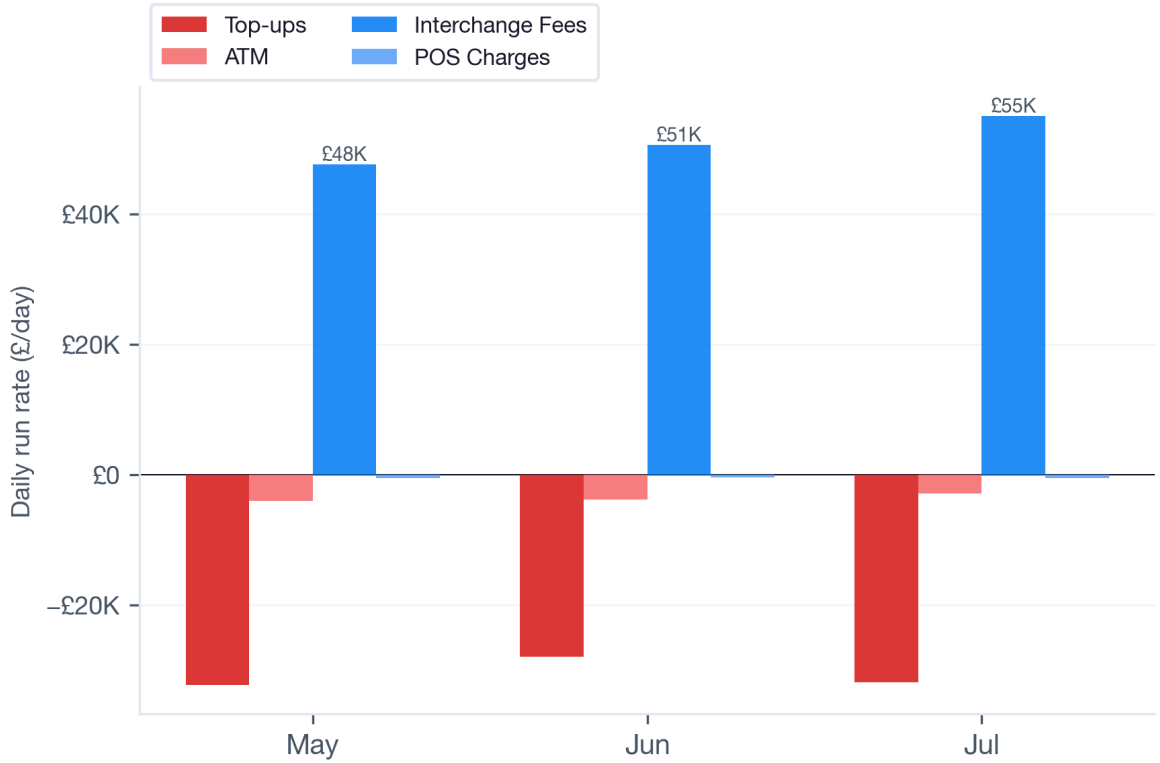
Plan Fees recovered to £29.2K/day in Jul after a £20.2K/day June trough. Initiative 7 benefits appear to be driving re-engagement.

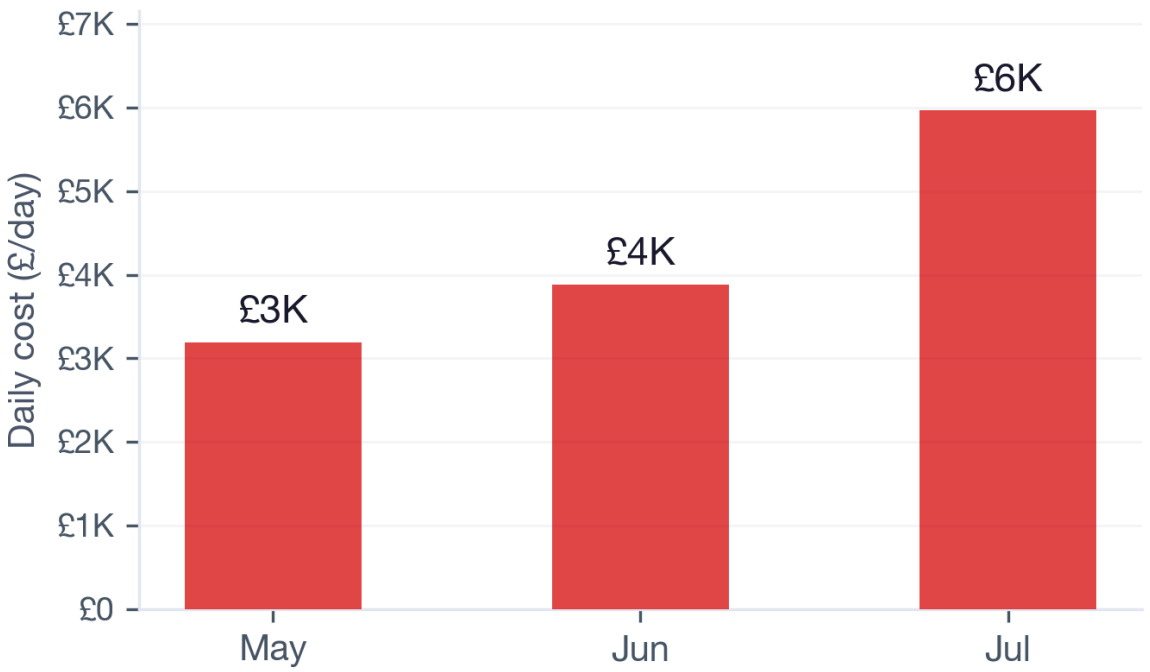
Daily run rates by account_level_3 (May÷31 days, Jun÷30, Jul÷23). Ordered by controllability. Colour coding: ● Risk / decline ● Monitor ● Growth opportunity.

DEEP DIVE: CARD PAYMENTS

# Card payments is a +£273K/month run-rate growth engine, but card production costs are rising 87% daily

Two card initiatives with opposite outcomes. Card payments revenue is accelerating (Initiative 8 + volume growth). Card production cost is the clearest hurting initiative in the portfolio.




**Interchange fees up +£7.5K/day (+16%)**

Net card payments GP: £11K→£20K/day. ATM costs improved **+29%** daily (Init. 8 vendor change). Completing the migration recovers **£100K–£200K**.

**Card production: +87% daily (£3.2K→£6.0K/day)**

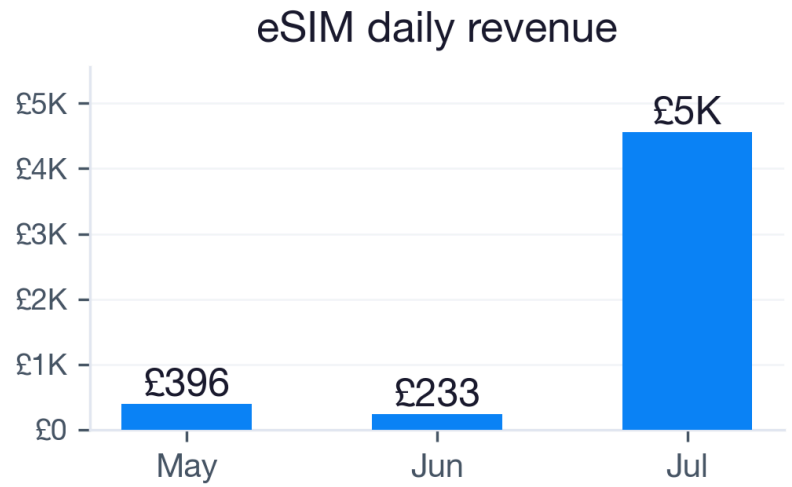
Initiative 9 added **£83K/month** extra cost. Commercial review with the new vendor is urgent. **Recovery: £80K to £115K per L90D**

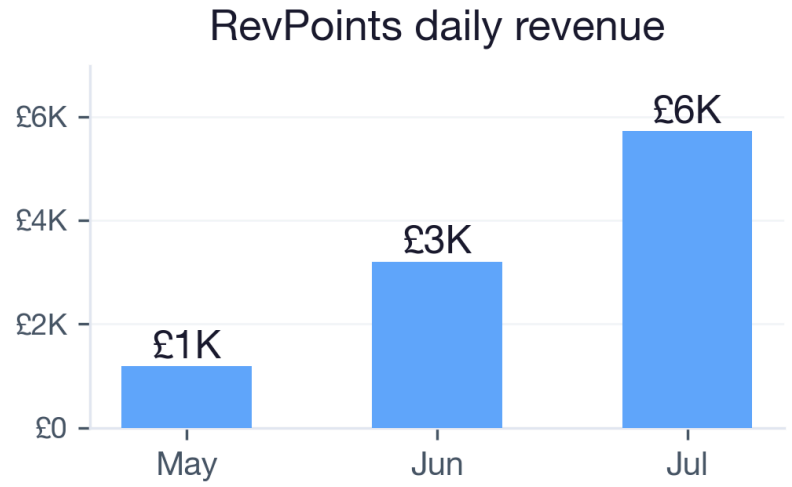
Card payments by account_level_3 (daily run rate). Top-ups/ATM/POS charges are costs. Interchange fees are revenue. Colour coding: ● Growth opportunity ● Risk / decline.

DEEP DIVE: GROWTH ENGINES

# Lifestyle daily run rate grew 3.5x May→Jul. eSIMs and RevPoints deserve deliberate investment.

Two products grew organically with minimal spend. Scaling them is the highest-ROI growth play.




### eSIMs: add £190K–£500K per L90D

11.5x daily growth (£0.4K→£4.6K/day) on just 9 users. Initiative 3 is at the start of its adoption curve. Target business travellers and peak travel (Q3/Q4).

### RevPoints: add £100K–£180K per L90D

4.8x daily growth (£1.2K→£5.7K/day), zero promotional spend. Expand merchant partnerships.

### Subscription upgrades: +£28 GP/user

111,167 Standard users at £15 vs Plus at £43, Ultra at £232. Converting 1–5% to Plus adds **£31K–£156K**.

### Stays: £15K in Jul (too early to size)

Initiative 4 launched July with 30% lower cashback.

Lifestyle by account_level_4. eSIM and RevPoints isolated from account hierarchy. Daily run rates (May÷31, Jul÷23). Colour coding: ● Growth opportunity ● Actionable ● Monitor Dashed border = recommendation.

DEEP DIVE: ADDITIONAL LEVERS

# Four smaller levers add £237K to £387K. Business growth closes the gap.

Each requires an operational decision, not new capital.

### $ Credit repricing: £45K–£70K

Loan daily decline: Poland **−£417/day**, Lithuania **−£329/day**, Romania **−£208/day**, Germany **−£126/day** (Init. 1 + 16), Ireland flat. Partially offset: Credit Cards turned positive and BNPL grew **8.9x daily**.

### $ Bank payment pricing: £90K–£180K

Total bank payments down **−£1.8K/day (−25%)**. UK leads the decline at **−£918/day**, Romania at **−£466/day**. Init. 5 explains Romania; UK warrants separate investigation.

### SMS and operational: ~£22K per L90D

In-house SMS cut costs **−60%**. Legal streamlining halved approval time. Faster refunds improve UX. Youth segment (3,153 users) runs at **−£58/user**, but daily run rate is recovering (May −£2.4K/day to Jul −£1.6K/day).

### Business segment: 27x GP/user

2,348 business users at **£913 GP/user** vs 185,894 personal at £34. Growing by 500 users via Scale plan + terminal rollout adds **£300K–£600K**.

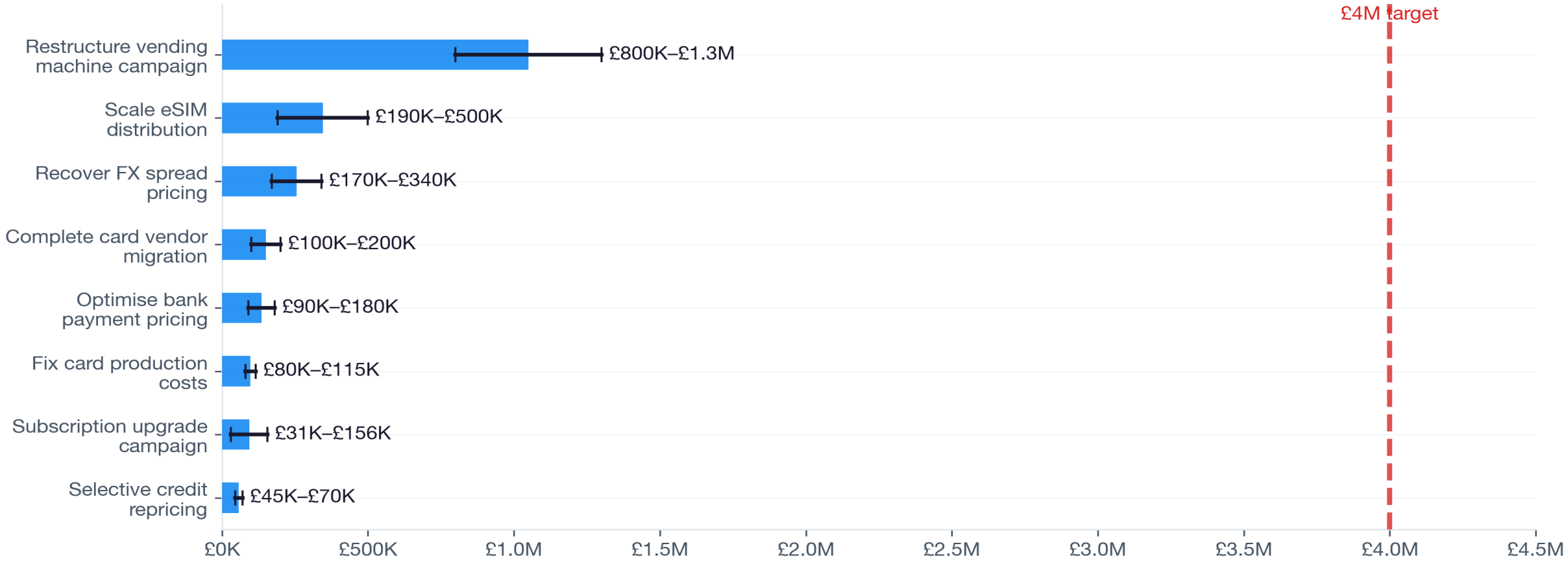
**Geographic ARPU gap:** UK **£90**/user vs France £23, Romania £17, Poland £31. Localised pricing could recover **£200K–£400K** per L90D.

Initiatives 1, 5, 10, 11, 13, 16, 17 mapped to levers above. Colour coding: • Actionable • Growth opportunity • Monitor Dashed border = recommendation.

INTERVENTION SIZING

# Eight interventions total £1.5M to £2.9M. Supplementary plays close the gap to £4M.

Ranges derived from observed daily run rates (no full reversal assumed). Current daily trajectory of +£390K/month, if sustained, adds headroom; eight interventions plus supplementary plays drive the case toward the £12.3M L90D target.




◎ **Closing the gap to £4M:** Execute all eight at the high end (£2.9M), then add business segment growth (+£300K–£600K), geographic ARPU optimisation (+£200K–£400K), and balance management (+£50K–£100K). **Full range: £2.1M to £4.0M.**

ROADMAP

# Four immediate actions capture ~£1.0M in 90 days. Full £4M is a 12-month execution.

## Now: 0–90 days ~£1.0M HIGH CONFIDENCE

- Cap vending machine daily spend at **£16K/day** and introduce qualification gate
- Run **FX spread pricing review** by currency pair and plan tier
- Open **commercial review** with card production vendor
- Complete card vendor **cost migration** across all card types

## 3–6 months ~£1.0M MEDIUM CONFIDENCE

- Scale **eSIM distribution** with travel-season marketing
- Expand **RevPoints** merchant partnerships
- Launch **Standard-to-Plus** subscription upgrade campaign
- Review **bank payment pricing** across currencies

## 6–12 months ~£2.0M MARKET-DEPENDENT

- Selective **credit repricing** by market based on elasticity
- Grow **business segment** via Scale plan and terminal rollout
- **Localised pricing** in top EU markets to close ARPU gap
- **Balance optimisation** in Other Financial Assets to offset interest income mix shift

**First horizon = operational decisions, no new investment.** Vending machine restructuring, card cost migration, and FX pricing review are all within direct team control. These are the highest-confidence levers.

APPENDIX

# Data methodology, assumptions, and initiative mapping

## DATA METHODOLOGY

**L90D window:** 91 days, Apr 24–Jul 23 2024. Data extracted on Jul 23.

**April:** 7 days (partial start of window).

**July:** 23 days (partial end of window).

**Daily run rate:** Month comparisons use total GP ÷ days in month (31/30/23). Raw monthly totals would under-represent July by 8 days and produce a false decline signal.

**L90D total:** £8.34M across all 91 days.

## KEY ASSUMPTIONS

- amount_gbp denominated in thousands per documentation
- NAP status = final activation outcome in the 91-day window
- Segment economics (plan/country/user type) use full dataset
- Sizing uses conservative–moderate ranges from observed trends
- No range assumes full reversal of any decline
- FX spread: 25–50% addressable through pricing
- 2024 cohort £14/user vs £49 for pre-2024 cohorts
- Current product mix assumed; no regulatory changes beyond Init. 16

## INITIATIVE MAPPING

**#1** Credit rate cuts (RO, DE, LT): loan daily run rate −£329–£126/day by market → slide 7

**#2** Savings rate increase (Metal/Ultra): Instant Access daily **+84%** (volume offset higher rate cost) → slide 4

**#3** eSIM launch: **11.5x** daily growth on 9 users → slide 6

**#4** Stays cashback reduction: £15K first month → slide 6

**#5** Bank payment HUF/RON free: Romania −£466/day → slides 4, 7

**#6** Vending machine campaign: £2.8M L90D cost → slide 3

**#7** Subscription benefits (Plus/Ultra): Plan Fees recovered Jun→Jul → slides 4, 6

**#8** Card vendor cost changes: ATM **+29%** daily → slide 5

**#9** Card production vendor: **+87%** daily cost → slide 5

**#10** Simplified business onboarding: no direct P&L signal → slide 7

**#11** New terminal for offline payments: Merchant Acquiring still small → slide 7

**#12** Money Market Funds: Treasury Services growing from tiny base

**#13** Scale plan: 187 users at £2,768 GP/user → slide 7

**#14** Faster refund settlement: UX, no direct P&L line

**#15** Legal streamlining: process efficiency, no P&L line

**#16** German loan provisions 5%→10%: compounds Init. 1 in Germany

**#17** In-house SMS: **−60%**, ~£22K/L90D → slide 7

Analysis in Python (pandas, numpy, matplotlib). P&L decomposed via four-level account hierarchy. 17 initiatives mapped; 11 show measurable P&L impact.